

IN THIS REPORT

- 2-4 Monthly Price Movements** European natural gas prices rose markedly throughout the month due to escalating tensions and the *de facto* closure of the Strait of Hormuz following the end of the interim peace deal.
- 5-6 Supply and Demand** China's crude oil imports continued to slump due to the major disruption caused by fighting in the Middle East.
- 7-8 Other Price Drivers** Dirty tanker rates increased throughout July due to continued fighting between the US and Iran.

Key Takeaways

- **Crude oil** prices fell on a monthly basis throughout July, with increased optimism over a peace deal driving prices downward towards the end of the month. However, market players pointed to dwindling supplies in many parts of the world and a marked decline in imports by key states, such as China, and still-high tension.
- **Natural gas** prices in Europe increased throughout the month in line with significant worry on the continent about supply, given the importance of import from states such as Qatar. The continued closure of the Strait of Hormuz means natural gas flows from Gulf states have slowed considerably. In the US, natural gas prices fell and market players noted ample supply and increased renewable output met power demand.
- **Electricity** prices increased throughout the month in Europe and the US, driven by elevated cooling demand due to hotter weather in both regions.

Product	Expana Series	July Price	M-O-M%	Y-O-Y%
Crude Oil Brent ICE EU	BCRD	\$83.69 /barrel	-0.9%	+20.3%
Natural Gas TTF NL	NGNL	€53.58/ MWh	+19.2%	+57.7%
Natural Gas NYMEX US	NGAS	\$2.95/ 10Therm	-7.9%	-10.8%
Electricity Index Europe	EFA1	€110.51/ MWh	+18.7%	+46.9%
Electricity Ind US	LY32	USc 9.35/ KWh	+2.5%	+0.2%

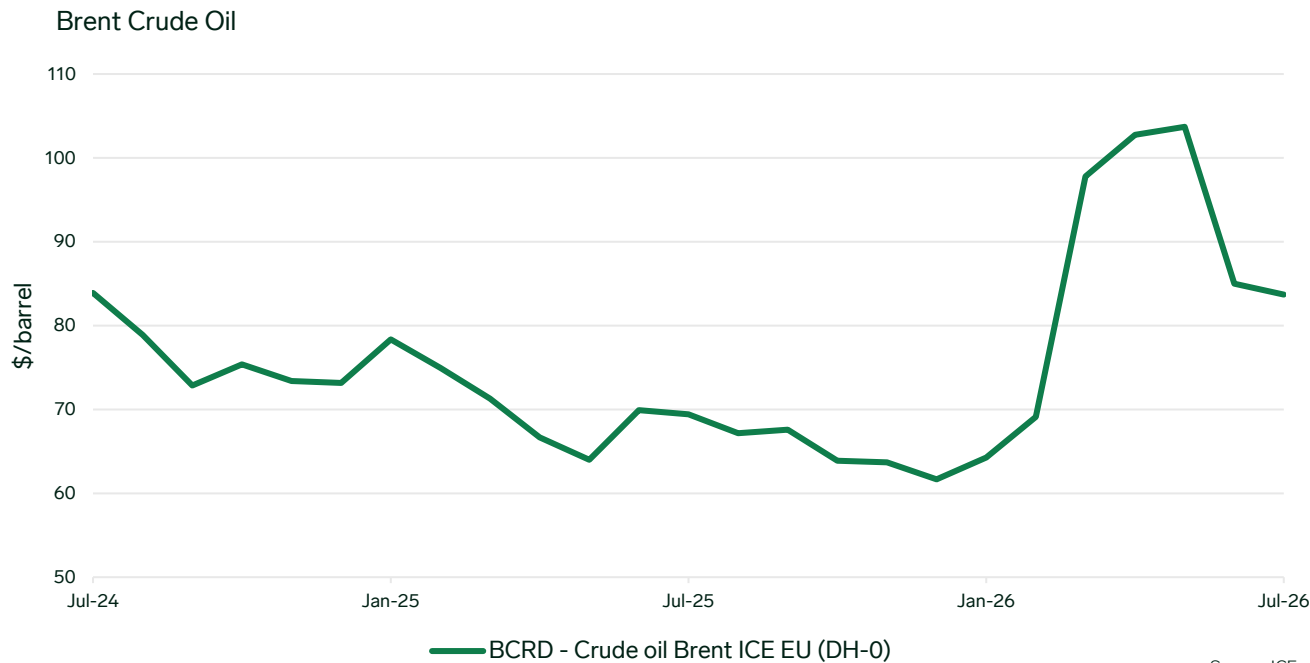
Market Sentiment



- Overall, sentiment in energy markets remains 'mildly firm', unchanged from the previous month, chiefly attributable to increased tensions in the Middle East following the breakdown of the interim peace treaty signed between the US and Iran in June.
- Sentiment in the crude oil and European natural gas markets steadied in the final week of July due to a pause in fighting in the Middle East, with some sources now more confident of a longer-term peace deal in the coming weeks, potentially easing supply concerns.
- Market players expect continued elevated cooling demand in Europe and the US due to ongoing heatwaves.

Monthly Price Movements

Throughout the month, prices declined due to increased optimism at the end of July over a longer-term peace deal in the Middle East, but tensions remain high.



Market Sentiment

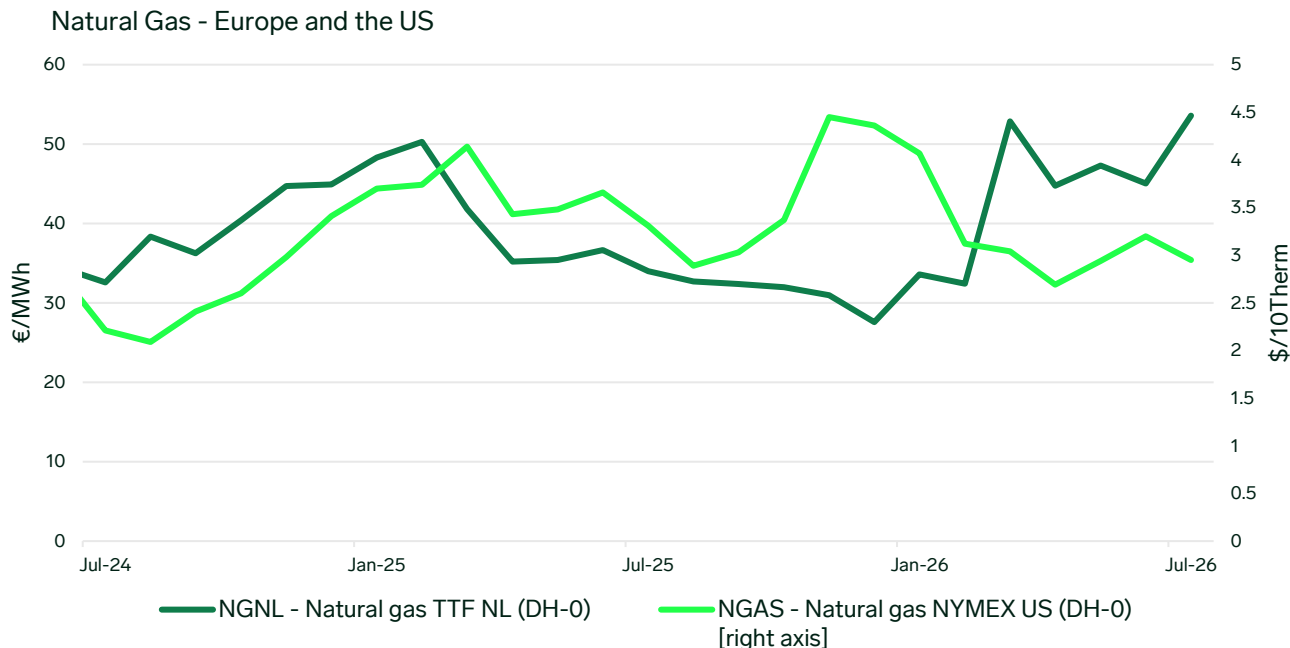


- Market sentiment within the crude oil market remains 'mildly firm', unchanged from the previous month. The peace treaty that was signed in June between the US and Iran broke down, thus keeping sentiment mildly firm due to persistent supply concerns.
- Players continue to note falling crude oil inventories and a marked reduction in imports in key destinations, such as China, as evidence global supply is tightening at pace.
- According to sources, however, both parties to the conflict are continuing to talk through diplomatic channels and paused strikes towards the end of July, increasing optimism among market players of a longer-term peace deal. However, strikes have reportedly resumed.

- Throughout July, crude oil prices declined despite the escalation of military activities between the US and Iran and increased supply concerns.
- Price volatility was high throughout the month given the rapidly changing developments regarding diplomatic and military activities in the Middle East. However, towards the end of the month, strikes by both sides declined in frequency, leading market participants to become slightly more optimistic about supply from the region.

Monthly Price Movements

Geopolitical factors propelled European prices upwards, while US prices fell due to ample supply.



- In Europe, natural gas prices increased throughout July following the slight decline observed in June. The climb was attributable to greater supply anxiety caused by heightened tensions between the US and Iran and the disruption to LNG shipments from Gulf states to Europe.
- In the US, prices declined after the uptrend that had been in progress since April. According to sources, supply was ample throughout July, with increased power demand being met by the satisfactory natural gas supply and by renewable sources, namely solar.

Market Sentiment – Europe



- Sentiment remains 'mildly firm' unchanged from the previous month in the natural gas market in Europe, attributable to continued tensions in the Middle East and the Strait of Hormuz.
- Players remain extremely concerned about supply security in the European natural gas markets, with imports from states such as Qatar still effectively cut off. Considering low storage levels on the continent, sources anticipate further tightening in the market.

Market Sentiment – US

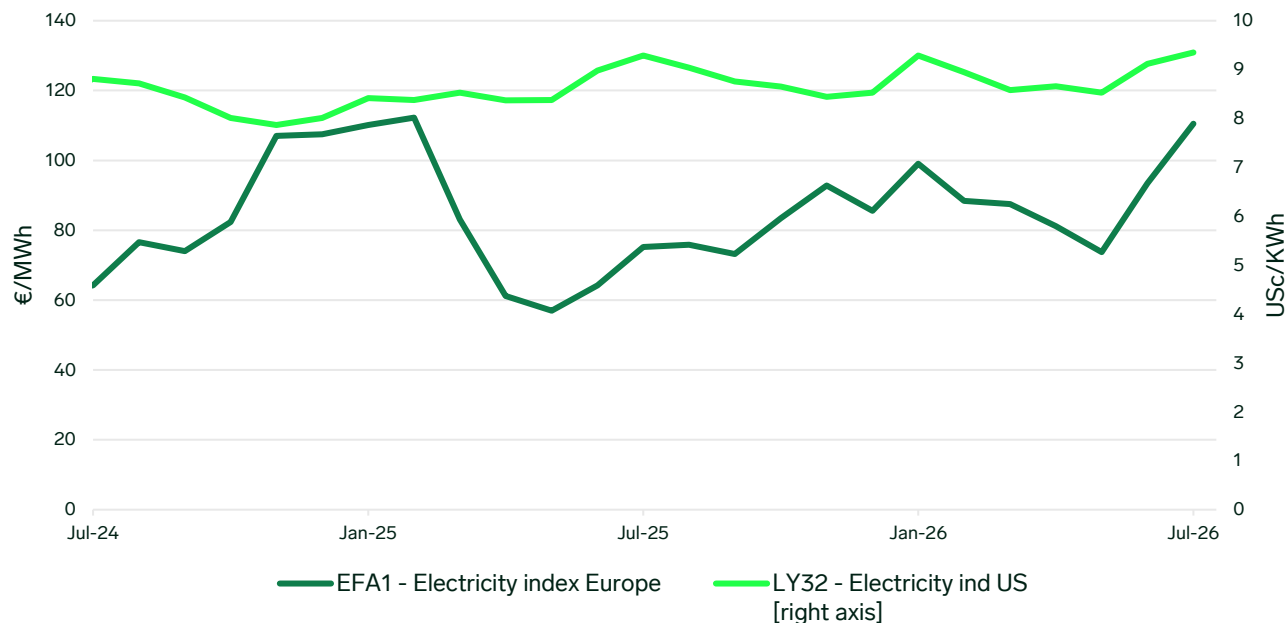


- Sentiment within the US natural gas market remains 'steady', like the previous month, according to market participants.
- Sources expect a largely stable market over the coming months due to the ample supply meeting any increased demand.

Monthly Price Movements

Prices rose due to heightened cooling demand in Europe and the US, while increased natural gas prices in Europe added to electricity generation costs.

Electricity - Europe and the US



- In Europe, electricity prices again increased markedly throughout July, driven upwards by higher natural gas prices throughout the month, combined with surging demand in response to the current heatwave on the continent.
- In the US, prices moved upwards throughout July, supported by increased demand for cooling during hotter weather and also from new data centres.

Market Sentiment – Europe



- Sources expressed a 'mildly firm' sentiment in July, unchanged from the previous month, due to players' expectations of persistently elevated cooling demand due to the ongoing heatwave on the continent.
- Sources also note the continued fighting in the Middle East and the upwards price impact on natural gas prices, a major input for electricity generation. As such, players expect continued mildly firm sentiment in line with the conflict.

Market Sentiment – US



- Sentiment in the US electricity markets remains 'mildly firm', unchanged from the previous month.
- Sources anticipate continued cooling demand throughout the summer month, underpinning the mildly firm sentiment expected by players over the coming months.

US Weekly Ending Stocks

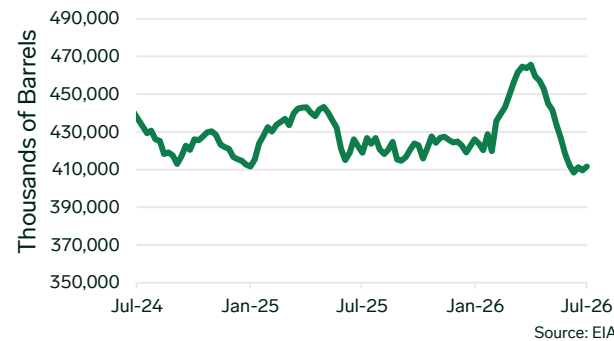
- As of July 17 (latest data), US crude oil weekly ending stocks fell 0.1% MOM, decreasing 5.7% YOY, with the latest figure at 411,675k barrels. Ending stocks have stabilized at markedly lower levels due to the continued closure of the Strait of Hormuz. According to the July Short-Term Energy Outlook from the EIA, US crude oil production is forecast to reach 13.8 mb/d in 2026 (up 100 kb/d compared to June's forecast) and 14.0 mb/d in 2027, down 200 kb/d compared to June's forecast. Overall, though, the EIA's production forecasts continue to increase for 2026 and 2027.

China Imports

- China, the world's largest crude oil importer, saw its crude oil imports average 7.15 mb/d in June (latest data, provisional), down 8.6% from 7.82 mb/d in May, falling 41.3% YOY, according to data from the General Administration of Customs of China and Expana calculations. Imports continued to dwindle to new lows due to the disruption caused by the closure of the Strait of Hormuz, through which significant volumes of crude oil flow to China.

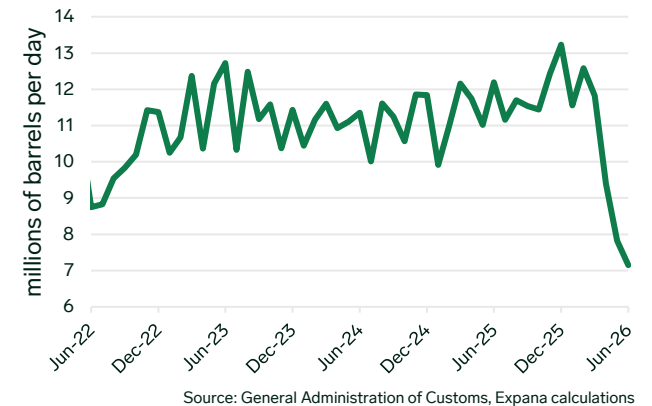
Weekly ending stocks in the US have stabilized at markedly lower levels.

Weekly U.S. Ending Stocks (excluding SPR of Crude Oil)



Imports continued to move lower due to supply disruption caused by the Middle East conflict.

China Crude Petroleum Imports



Europe

- In June (latest data, provisional), the total indigenous natural gas production in the EU was down 13.9% MOM, at 2,285 million cubic meters, representing a 13.6% YOY decrease.
- The monthly and annualized declines in natural gas production in the EU is causing major concern among market players who believe supplies will be tight on the continent if shipments from Gulf states are not restored in the coming weeks. Sources also believe low storage levels are worrying.

US

- According to the EIA, working gas in storage in the lower 48 states of the US was 3,056 billion cubic feet as of July 17 (latest data). The figure is 6.0% above the five-year average, representing a 0.6% YOY decrease, with the annualized decline decelerating compared to the previous month.

Market players are concerned by the monthly and annualized decline in production.

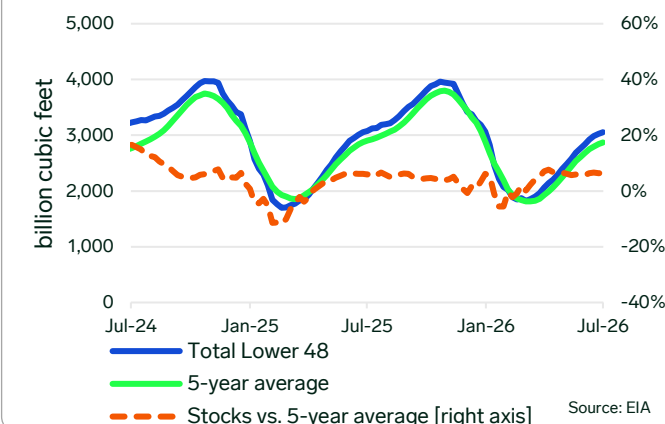
Indigenous EU Production of Natural Gas



Source: Eurostat

Despite the annualized decline, natural gas stocks remain comfortably above the five-year average.

US Weekly Natural Gas Stocks



Source: EIA

Europe

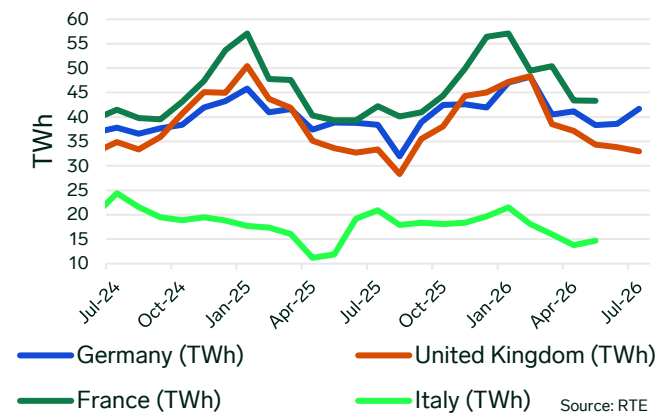
- According to the latest data, electricity generation moved up markedly in Germany in response to higher cooling demand. Meanwhile, in the UK, generation was largely unchanged MOM. In France and Italy, the latest data showed slight climbs in Italy and a sideways move in France.

US

- According to the EIA, in the US, total electricity generation at utility-scale facilities reached 354,691k MWh in May (latest available data), up 7.3% MOM. The figure represented a 3.2% increase on an annualized basis.
- Natural gas again represented 39% of the total generation, up from 38% in the previous month.

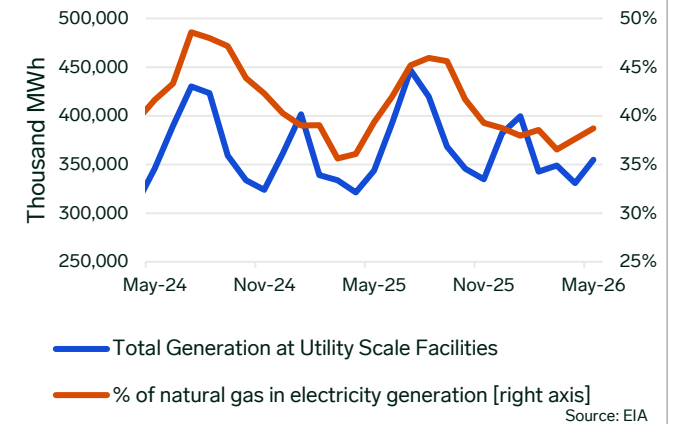
Electricity generation moved up notably in Germany throughout July.

Energy Production



In May, natural gas made up a larger proportion of electricity generation compared to April.

US Electricity Generation



Inflation

- In the US, annualized headline inflation decelerated to 3.5% in June 2026, down from 4.2% in May, the lowest result since March 2026. In the Eurozone, inflation was 2.8% YOY in June, decelerating from 3.2% YOY in May. Energy inflation was 8.5% YOY, decelerating 1.8% MOM. In China, annualized headline inflation was 1.0% in June 2026, down from 1.2% in May and falling short of market sources' expectations of 1.1%. Elevated energy costs have fueled sluggish domestic demand but show signs of easing, say market participants.

USDx and Interest Rates

- The Expana USDx again strengthened notably throughout July. The rise is attributable to persistent safe-haven demand due to geopolitical uncertainty caused by the Middle East conflict. Furthermore, the US Federal Reserve held interest rates steady at the most recent policy meeting on July 26 instead of cutting, thus adding further upward momentum to the USDx due to the relative attractiveness of the US dollar from an investment perspective. Expana's USDx was 101.37, up 0.4% MOM, as of July 29.

Asia Natural Gas Prices

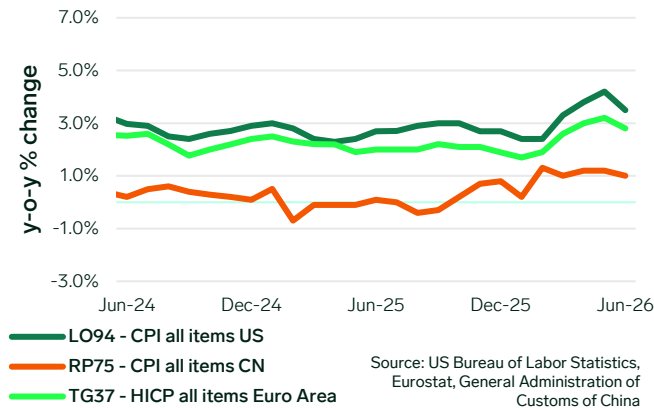
- Asian gas prices rose 10.5% MOM in July to \$19.02/10Therm, up 52.3% YOY. Competition for natural gas cargoes remains intense due to the tightening of supply, attributable to the Middle East conflict.

Tanker Indices

- The dirty tanker index rose 7.4% MOM in July, while the clean tanker index decreased 11.7% MOM. Risk premiums remain high due to continued fighting between the US and Iran.

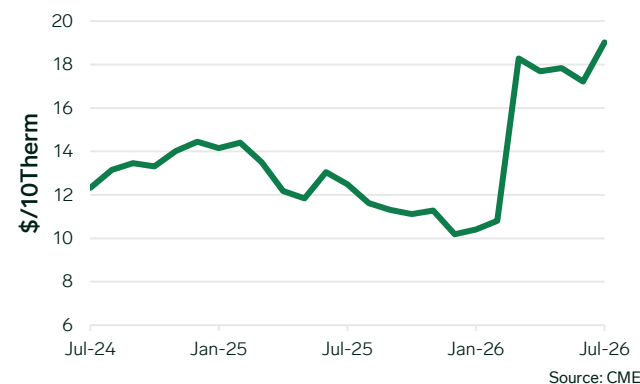
Headline inflation largely decelerated due to lower energy prices throughout June.

Global CPIs
expressed as y-o-y % change



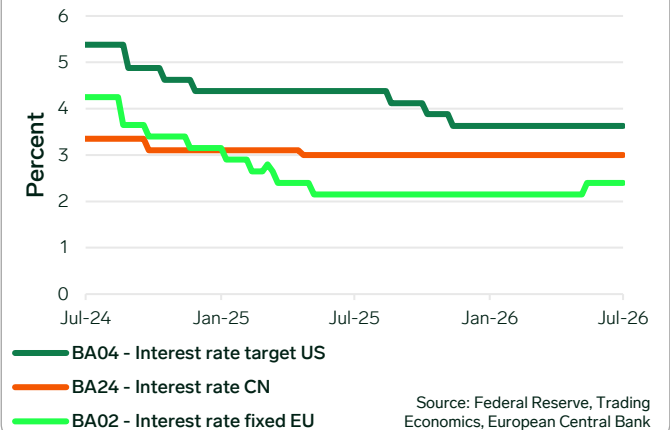
Asian natural gas prices moved markedly higher, increasing international cargo competition.

LNGN - LNG (Platts) NYMEX JP/KR (DH-0)



The US Federal Reserve held interest rates steady at the most recent policy meeting.

Interest Rates (US, EU, China)



Risk premiums remain elevated due to continued fighting in the Middle East.

Tanker Indices



Abbreviations and Acronyms

BCFD	Billion Cubic Feet per Day
BCM	Billion cubic metres
EIA	Energy Information Administration
EUR	Euro
USD	US Dollar
MMcf	One Million Cubic Feet
MWh	Megawatt Hour
GW	Gigawatts
MW	Megawatts
LNG	Liquified Natural Gas
GWh/d	Gigawatts Hours per Day
TWh	Tera-watt Hour
SPR	Strategic Petroleum Reserve
Winter	October - March

Date of next publication: The report is published on the last business day of the month; therefore, the next date of publication will be Friday, August 28.

Market Sentiment Definitions:

Firm — Demand exceeds supply, prices moving higher.

Steady — Supplies and demand generally in good balance—prices unchanged.

Weak — Supplies plentiful for demand and prices moving lower.

Methodology, Feedback & Forward-Looking Statements:

Expana is committed to ensuring all published Expana Benchmark Prices are representative of market value, and in line with Expana's transparency principles, we encourage industry participants to reach out to the PRA Team. Any feedback and comments related to this document and the prices contained within are welcomed and should be directed to PRA@expanamarkets.com.

For details on the methodology used to assess the Expana Benchmark Prices, visit this [link](#).

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